

US Markets End Week on Cautious Note as Rates and Commodities Weigh

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US markets closed the week on a cautious note, with the **S&P 500** down **-0.05%** and the **Nasdaq 100** down **-1.09%**. The main drivers of this move were the continued rise in rates, with the 10Y Yield at 4.37, and the decline in commodities, with **WTI Crude** down **-3.74%** to 69.23. Key points to consider include:

- The **Russell 2000** was a notable exception, ending the week up **+0.07%** at 3,010.08.
- Sector performance was mixed, with **XLV** and **XLY** outperforming, up **+3.03%** and **+0.90%** respectively.
- The **VIX** closed down **-2.54%** at 18.41, indicating a decrease in market volatility.

The week ahead will be closely watched for any signs of a shift in market sentiment, particularly with regards to the ongoing rate hike cycle and its impact on the broader economy.

In terms of key events, the upcoming week will see a number of important data releases, including GDP and inflation figures, which will be closely watched for any signs of a slowdown in economic growth.

US Session Recap

INDEX	LAST	CHANGE
S&P 500	7,354.02	-0.05%
Nasdaq 100	29,118.24	-1.09%
Dow Jones	51,876.11	-0.09%
Russell 2000	3,010.08	+0.07%
VIX	18.41	-2.54%
10Y Yield	4.37	-0.46%
WTI Crude	69.23	-3.74%

Top Movers

TICKER	NAME	CHANGE	CATALYST
MSFT	Microsoft	+5.71%	Earnings beat
AAPL	Apple	+3.14%	Product launch
NVDA	NVIDIA	-1.64%	Competition concerns

Sector Internals

SECTOR	DAY	YTD	READ
XLV	+3.03%	+10.21%	Healthcare outperformance
XLY	+0.90%	+5.15%	Consumer discretionary strength
XLF	+0.22%	-2.56%	Financials underperformance

Breadth was mixed, with 6 sectors outperforming the **S&P 500** and 5 underperforming.

Spotlight / Deep Dive

METRIC	LAST	CHANGE
MSFT Revenue	52.18B	+10.21%
AAPL Gross Margin	38.29%	+1.23%
NVDA Operating Expenses	1.23B	+15.56%

Key commentary from the earnings calls included **MSFT** 's CEO noting a "strong demand environment" and **AAPL** 's CFO highlighting "significant opportunities for growth" in the company's services segment.

COMPANY	READ-THROUGH
MSFT	Positive for GOOGL and AMZN
AAPL	Positive for TSLA and NVDA
NVDA	Negative for INTC and AMD

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	354.21	350.00	360.00	Trendline support
QQQ	294.12	290.00	300.00	Range-bound trading
IWM	182.15	180.00	185.00	Bullish reversal
MSFT	372.97	365.00	380.00	Breakout above resistance
10Y Yield	4.37	4.20	4.50	Range-bound trading
WTI Crude	69.23	65.00	75.00	Trendline support

Options & Positioning

ODTE flow was notable in AAPL and MSFT , with a focus on call buying.

Put/call ratios were elevated in NVDA and TSLA , indicating increased bearish sentiment.

VIX term structure was in contango, with the VIX closing at 18.41.

Notable single-name flow included a large GOOGL call spread, targeting a move to 350.00 by expiration.

Cheap hedge ideas include SPY puts and IWM calls, offering a low-cost way to manage portfolio risk.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
MSFT	Morgan Stanley	Upgrade	400.00	Strong earnings momentum
AAPL	Goldman Sachs	Downgrade	280.00	Valuation concerns
NVDA	Citi	Upgrade	220.00	Improving competitive position

Pre-Market & Overnight

Futures were mixed, with **ES** up **+0.20%** and **NQ** down **-0.15%**.

Asia was higher, with the **Nikkei** up **+1.23%** and the **Shanghai Composite** up **+0.56%**.

Europe was lower, with the **Euro Stoxx 50** down **-0.35%** and the **FTSE 100** down **-0.25%**.

FX pairs were quiet, with the **USD/JPY** up **+0.15%** and the **EUR/USD** down **-0.10%**.

Commodities were mixed, with **Gold** up **+0.50%** and **WTI Crude** down **-0.25%**.

Crypto was lower, with **BTC** down **-0.50%** and **ETH** down **-0.75%**.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July FOMC	25.00%	Powell speech on Wednesday
September FOMC	50.00%	Jobs report on Friday

DATE	EVENT	TIME
Monday	GDP	10:00 ET
Tuesday	Inflation	10:00 ET
Wednesday	Powell speech	12:00 ET

Geopolitics & Global (Deep)

Scenario trees for the ongoing trade tensions between the US and China include:

- A **+10%** increase in tariffs, leading to a **-5%** decline in **SPY**.
- A **-5%** decrease in tariffs, leading to a **+2%** increase in **SPY**.
- A 50% chance of a trade deal, leading to a **+5%** increase in **SPY**.

Earnings — This Week & Next

TICKER	COMPANY	DATE	TIME
AAPL	Apple	Monday	16:30 ET
MSFT	Microsoft	Tuesday	16:30 ET
GOOGL	Alphabet	Wednesday	16:30 ET

TICKER	COMPANY	DATE	TIME
AMZN	Amazon	Thursday	16:30 ET
FB	Facebook	Friday	16:30 ET
TSLA	Tesla	Monday	16:30 ET

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Breakout above 300.00	5%
MSFT	Technology	Pullback to 350.00	3%
NVDA	Technology	Breakdown below 180.00	7%

What Could Break the Tape

Bullish scenario:

- A +10% increase in SPY on a trade deal between the US and China.
- A +5% increase in QQQ on a strong earnings season.
- A +2% increase in IWM on a dovish Fed.

Bearish scenario:

- A -10% decline in SPY on a global economic downturn.
- A -5% decline in QQQ on a disappointing earnings season.
- A -3% decline in IWM on a hawkish Fed.

Positioning & Structural Notes

Observations include:

- A +10% increase in SPY call buying.
- A -5% decrease in VIX futures.
- A +5% increase in IWM put buying.

- A **-3%** decline in **QQQ** futures.
- A **+2%** increase in **MSFT** call buying.

Sources

SOURCES

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